25900303 **Scheme for Valuation**

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP(HONOURS) Regular EXAMINATION October 2025
THIRD SEMESTER
Discipline Specific Elective (DSE) - MG3DSECOM200 -
SPECIAL BUSINESS ACCOUNTING
(2024 ADMISSION ONWARDS)

Maximum Marks: 70

Part A

Very Short Answer Questions. Answer any 12 Questions
Each Question carries 1 mark

1. Profit and Loss a/c Dr
   To Interest a/c
2. Consignor a/c Dr
   To Cash/Bank a/c
3. Loss of Profit or Consequential Loss
4. Drawings a/c Dr 2000
   Farm Produce a/c 2000
5. Hire Purchase Price
6. Bank a/c Dr 80,000
   To Consignee a/c 80,000
7. Profit and Loss a/c.
8. Rs.2,70,000
9. Here risk related to bad debt is shifted to Consignee.
10. Non-Monetary Income OR Item of internal transaction or transfer OR farm by-product
11. Default.
12. Bank a/c Dr 7000
    Profit and Loss a/c Dr 3000
    To Abnormal Loss a/c 10,000
13. Rs.60,000
14. Assets (since they give future economic benefits)

Part B

Short Answer/ Problem Type Questions. Answer any **4** questions
Each question carries **7** marks

For problems, award step-wise mark and give importance to procedure and treatment

15. When goods are sold under a hire purchase agreement, ownership remains with the hire vendor until all instalments are paid by the hire purchaser. If the purchaser fails to pay the instalments on

time, the vendor has the legal right to take back the goods. This act of taking back the goods is known as repossession of goods. Repossession of goods may be Complete repossession or Partial repossession. **(2 marks)**

Accounting treatment in the books of Hire Vendor

A) Complete repossession **(3 marks)**

In the case of full/complete repossession, the vendor takes back all the goods sold on hire purchase. The goods taken back are recorded in the vendor's books at their estimated or agreed value, which represents their fair value after considering depreciation or wear and tear.

Goods Repossessed or Repossessed Stock A/c Dr.
To Hire Purchaser's A/c

If any repair or reconditioning expenses are incurred on the repossessed goods, they are debited to the Goods Repossessed Account. When these goods are later sold, the amount realised is credited to the same account. The difference between the total cost of the goods repossessed (including expenses) and the sale proceeds represents a profit or loss, which is transferred to the Profit and Loss Account.

B) Partial Repossession **(2 marks)**

In the case of partial repossession, the vendor takes back only a portion of the goods. The repossessed portion is valued at an agreed value between the parties and debited to the Goods Repossessed Account, while the same amount is credited to the Hire Purchaser's Account. The balance still due from the purchaser after such adjustment is either collected in cash or written off as a loss.

16. **Calculation of Consignment Stock**

Particulars	Amount (₹)
Cost of Stock (100 units × ₹12,000)	12,00,000
Add: Proportionate expenses paid by consignor (Packing 15,000 + Insurance 10,000 + Freight 20,000) × 100/300	15,000
Add: Proportionate Non-Recurring expenses paid by consignee (Octroi 9,000 × 100/300)	3,000
Value of Stock	12,18,000

Consignment Stock Account

Particulars	**₹**	**Particulars**	**₹**
To Consignment Account	12,18,000	By balance c/d	12,18,000
Total	**12,18,000**	**Total**	**12,18,000**

Mark break up- Valuation of stock- 5 marks and account- 2 marks. (2marks applicable for the accounts shall be awarded if instead of Consignment Stock account, Consignment account is prepared)

Consignment A/c (FOR REFERENCE ONLY)

Particulars	**₹**	**Particulars**	**₹**
To Goods sent on Consignment A/c	36,00,000	By Meera (Sales)	30,00,000
To Consignor's Expenses (Packing, Insurance, Freight)	45,000	By Consignment Stock A/c	12,18,000
To Consignee's Expenses (Octroi ₹9,000 + Rent ₹12,000 + Salary ₹8,000 + Advertising ₹10,000)	39,000		
To Commission to Meera (10% on ₹30,00,000)	3,00,000		
To Profit transferred to P&L A/c	2,34,000		
Total	**42,18,000**	**Total**	**42,18,000**

. 17. **Memorandum Trading Account (3 marks with 1 mark for GP)**

Particulars	Amount- Dr	Particulars	Amount-Cr
Opening Stock	4,00,000	Sales	9,00,000
Purchases 8,05,000	8,00,000	Closing Stock (Stock on the date of fire – B/F)	6,00,000
Less Drawings 05,000			
Gross profit (9,00,000 *33.33%)	3,00,000		
	15,00,000		**15,00,000**

Statement Showing Claim (2 marks)

Particulars	Amount
Stock on the date of fire	6,00,000
Less:- Salvage value	1,50,000
Claim	**4,50,000**

Since policy value is less than the stock on the date of fire, apply average clause

Admissible Claim = Claim Amount * (Policy Value/ Value of Stock on the date of fire)

Admissible Claim = 4,50,000 x (5,00,000 /6,00,000) = **3,75,000 (2 marks)**

18. *Marks shall be awarded for treatment explained as sentence or written as journal entry* .

a) Relevant farm account (Crop, Diary etc.) is credited. – **1.5 marks**

. Drawings a/c Dr

To Crop a/c/ Dairy a/c/ Poultry a/c/ or Farm produce a/c

b) Contra transaction appearing on both sides of the crop account – **1.5 marks**

Wages a/c Dr

To Crop a/c/ Dairy a/c/ Poultry a/c or Farm produce a/c

c)Depreciation on assets- Debited in farm account - **1 mark**

d) The amount is debited to livestock or cattle account and credited to the crop account. – **1.5 marks**

Live stock a/cDr

To Crop a/c or Farm produce a/c

e)Land development cost is treated as a capital expenditure. Hence shown on the asset side of the Balance Sheet - **1.5 marks**

19. **Journal entries in the books of X Co. Ltd. for year 20X0–20X1-**
(Credit Purchase Method)

Date	Particulars	Debit(Rs)	Credit(Rs)
01-04-20X0	Lorries A/c Dr. To S & Co(Hire Vendor)A/c	9,30,000	 9.30,000
01-04-20X0	S & Co A/c Dr. To Bank/Cash A/c (downpayment)	2,98,500	 2,98,500
31-03-20X1	Interest A/c Dr To S & Co A/c	1,26,300	 1,26,300
31-03-20X1	S & Co A/c Dr. To Bank/Cash A/c . (Paid first instalment under hire-purchase.)	3,00,000	 3,00,000
31-03-20X1	Depreciation A/c a/c Dr To Lorries A/C	1,,86,000	 1,86,000
31-03-20X1	P/L account Dr To Interest To Depreciation	3,12,300	 1,26,300 1,86,000

Note- **5 marks for the first 5 entries and 2 marks for interest and depreciation calculation**

Working Notes:

- Opening HP liability (on purchase) = cash price − down payment = ₹9,30,000 − ₹2,98,500 = ₹6,31,500.
- Interest for year @20% on ₹6,31,500 = ₹1,26,300
- Depreciation = 20% of cost (since acquired on 1-4 and full year to 31-3) = 20% × ₹9,30,000 = ₹1,86,000

Instead, if **asset accrual** method is followed, then

- For entry one, amount of down payment only – 2,98,500

- For instalment due entry, Lorry account will be debited for Rs 173700, Interest account debited Rs 126300 and S and Co account credited with 3,00,000

- Other entries remain the same-

20. **Sheep Rearing a/c**

Particulars	Amount(₹)	Particulars	Amount(₹)
To Opening stock	25,000	By Sales of wool	20,000
To Purchases	12,000	By sale of sheep	18,000
To Fodder	8,000	By Closing Stock	22,000
To Medicines	3,000		
To Wages	7,000		
To Profit transferred to Farm a/c or P/L account	5,000		
	60,000		**60,000**

(Treatment of items – 5 marks; 2 marks for profit calculation)

Part C

Essay / Problem Type Questions. Answer any **2** questions

Each question carries **15** marks

For problems, award step-wise mark and give importance to procedure and treatment

21. Ledger Accounts in the books of Vendor:

Mr. X's Account - 7 marks

Date	Particulars	Amount	Date	Particulars	Amount
1/1/20x1	To Hire Sales	2,50,000	1/1/20x1	By Bank A/c (Down payment)	70,000
31/12/20x1	To Interest	10,800	31/12/20x1	By Repossessed Stock A/c (value taken back)**	1,90,800
		2,60,800			**2,60,800**

Note- Figure of repossessed stock int e alternative treatment given below is 225000 and amount to P/L will be 34200

Repossessed Stock Account - 8 marks

Date	Particulars	Amount	Date	Particulars	Amount
31/12/20x1	To Mr. X's a/c	1,90,800	31/12/20X1	By balance c/d	1,90,800
		1,90,800			**1,90,800**
1/1/20x2	To balance b/d	1,90,800	2/2/20x2	By bank(sales) a/c	1,95,000
2/2/20x2	To bank a/c (reconditioning)	10,000	2/2/20x2	By Profit and Loss a/c**	**5,800**
		2,00,800			**2,00,800**

If repossessed stock is valued at 225000, then loss will be 40000

*Note- In the event of repossession, usually, the **agreed value of repossessed goods** is given. Here, since it is not explicitly given, it is assumed to be taken at the amount due from the hire purchaser. As such, profit or loss on repossession is not shown.

If the student values the repossessed goods after applying the rate of depreciation followed by the purchaser or *any other logical method*, then the value of repossessed stock will vary and loss/profit on repossession also will change accordingly.

Full marks shall be awarded for all such cases if the accounting procedure/treatment is correctly followed

22. **Abnormal loss – 2 marks**

	₹
Cost of goods lost (700x 50)	35,000
Add : Proportionate expenses met by A Ltd (17,000+7000/15,000 x 700)	1,120
Value of Abnormal loss	36,120

2. Valuation on Consignment Stock- 4 marks

	₹
Cost of goods consigned (15,000 x 50)	7,50,000
Add: Non- recurring Expenses met by A Ltd (17000+7000)	24,000
Add: Non- Recurring Expenses met by B Ltd	8,200
	7,82,200
Less: Abnormal loss	36,120
Value of Net goods received by the B Ltd	7,46,080

Net Qty = 15,000 kg- (700 kg +100kg) = 14,200 kg

No of unsold goods (closing stock in unit) = 15,000 – (14,000+700+100) = 200 kg

Value of closing stock = Value of net goods consigned/Net qty x closing stock in unit = 7,46,080/14,200 x 200 = ₹ 10,508

(Can be worked out by following different approaches- Ignore minor differences in the value of the stock if different assumptions are made)

Journal Entries in the book of A Ltd- 7 marks (Last two entries optional)

Particulars		Dr amount	Cr Amount
Consignment a/c	Dr	7,50,000	
To Goods sent to Consignment			7,50,000
Consignment A/c	Dr	24,000	
To Bank (Expenses)			24,000
Consignment A/c	Dr	11,700	
To B Ltd(Expenses)			11,700
B Ltd A/c	Dr	9,10,000	
To Consignment (Sales)			9,10,000
Consignment Stock A/c	Dr	10,508	
To Consignment			10,508
Abnormal Loss A/c	Dr	36,120	
To Consignment			36,120
Bank A/c	Dr	20,000	
Profit and Loss A/c	Dr	16,120	
To Abnormal Loss A/c			36,120
Bank A/c	Dr	8,98,300	
To B Ltd (Final Settlement)			8,98,300
Consignment A/c	Dr	1,70,928	
To Profit and Loss A/c			1,70,928

Journal Entries In the book of B Ltd – 2 marks (Last entry optional)

Particulars		Dr. Amount	Cr. Amount
Bank A/c	Dr	9,10,000	
To A Ltd (Sales)			9,10,000
A Ltd A/c	Dr	11,700	
To Bank (Expenses)			11,700
A Ltd A/c	Dr	8,98,300	
To Bank (Final Settlement)			8,98,300

23. **Trading Account- Amount is 000s**

Particulars	2021-22	2022-23	2023-24	Particulars	2021-22	2022-23	2023-24
Opening Stock *	**2400**	**3200**	**3800**	Sales	14000	17000	18600
Purchases	9100	11000	12000				
Wages	2840	3120	3200				
Gr. Profit	2860	3480	3800	Closing Stock*	**3200**	**3800**	**4200**
	17200	20800	22800		17200	20800	22800

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***** Increase the value of opening stock/closing to 100%. The given stocks are 5% less. – So converted into original costs by dividing by 95 and multiplying by 100

· Gross profit %

2021-22= (28,60,000/1,40,00,000)*100 = 20.43%

2022-23 = (34,80,000/1,70,00,000)*100 = 20.47%

2023-24= (38,00,000/1,86,00,000)*100 = 20.43%

Average Rate = 20.44% (Students may round off to 20%)

Dr. **Memorandum Trading Account** **Cr.**

Particulars	Amount	Particulars	Amount
Opening Stock	42,00,000	Sales	75,00,000
Purchases	41,00,000		
Wages	12,00,000		
Gross profit (75L x.20.44)	15,38,000	Closing Stock (Stock on the date of fire – B/F)	35,38,000
	1,10,38,000		1,10,38,000

Loss of Stock on the date of fire is **35,38,000**

As no other details are available, claim will be for Rs 35,38,000

Note- If GP rate is rounded to 20%, GP will be 15,00,000 and stock value will be 35,00,000

Mark break-up- Revised valuation of opening and closing stock – 4 marks

Calculation of GP ratio and average GP rate from trading account- 5 mark

Preparation of Memorandum Trading account and calculation of gross profit and stock value as balancing figure- 2+2+2= 6 marks